

Subject Code	AF5510
Subject Title	Corporate Governance
Credit Value	3
Level	5
Normal Duration	1-semester
Pre-requisite / Co-requisite/ Exclusion	None
Objectives	This subject provides students with an understanding and application of all aspects, and the related nature, of best practices in corporate governance. It enables students to identify and analyze business ethics issues pertaining to corporate governance, explain the theoretical basis for corporate governance and apply the concepts and principles of corporate governance to current corporate governance practices in the working environment, and evaluate corporate governance systems of Hong Kong and PRC listed companies with reference to other jurisdictions.
Intended Learning Outcomes	On successfully completing this subject, students will be able to: (a) explain the theoretical basis for corporate governance; (b) identify and analyse business ethics issues pertaining to corporate governance; (MCG Outcome 1) (c) evaluate the roles of directors, company secretary, governance professional and other relevant parties in performing corporate governance and enhancing corporate governance system of listed companies; (d) identify the features of and evaluate the corporate governance system of PRC companies by reference to corporate governance systems of other developed jurisdictions; and (e) critically evaluate the effectiveness of the Hong Kong corporate governance system, information technology governance system, cybersecurity, data protection and privacy law in protecting the interests of the investing public, the members and the creditors of Hong Kong companies. (MCG Outcome 2 and 8)
Subject Synopsis/ Indicative Syllabus	<u>General</u> Historical development of the system of corporate governance. Corporate governance theories/reports/principles/codes. Corporate governance approaches. Corporate governance framework. Agency framework for evaluation of alternative corporate governance system. The role of the Companies Registry, the Stock Exchange and the Securities and Futures Commission in the corporate governance system of Hong Kong and PRC companies. Relationship between accounting quality, auditing and corporate governance. Principles of

	corporate governance in non-profit sector. <u>Business Ethics</u> Ethical principles in business. Corporate and individual responsibilities. Ethical dilemmas. Whistle blowing. Individual and corporate standards of behaviour. Corporate codes of conduct. Professional ethics. Ethics and environment. Social responsibility. Corporate sustainability. Stakeholders' interests. Insider trading. Conflict of interests. Ethics and international business. <u>Directors</u> The role, power, responsibilities, liability and ethical issues of executive directors, non-executive directors and independent non-executive directors. Composition, board size and diversity. Succession planning. Duties under the Companies Ordinance, the Securities and Futures Ordinance, the Listing Rules and the Codes of Takeovers and Mergers and Share Buy-backs. Qualification and disqualification of directors. Appointment and vacation of office. Induction and professional development. Corporate culture. Remuneration, loans and compensation for loss of office. Restrictions on securities dealings, Insider dealing and CEO duality. Board effectiveness and board evaluation. <u>Board Committees</u> The roles, duties and effectiveness of audit committee, remuneration committee and nomination committee. <u>Secretary</u> Qualifications, appointment and vacation of office. Roles, duties, responsibilities, liability, skills and ethical issues. The role of the company secretary/governance professional in the corporate governance system. <u>Auditor</u> The position, duties, responsibilities, liability and ethical issues of auditors. Appointment, termination and vacation of office. Access to corporate information. The role of the auditor in the corporate governance system. Relationship with audit committee. Audit quality. Auditors' independence and non-audit services. Role of the Accounting and Financial Reporting Council in the corporate governance system. <u>Risk management and internal control</u> IT governance. The role of the board in risk management and internal control. Establishment and review of risk management and internal control systems. Risk management committee. Cybersecurity and data protection and privacy law. <u>Disclosure of Information</u> Disclosure of corporate information (including financial reporting). Contents of director's report. ESG reporting. Notifiable and connected transactions. Loan transactions. Disclosure of interests in shares and debentures. Disclosure of directors' dealings in securities. Voluntary disclosures.
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	<u>Rights of shareholders and shareholder engagement</u> Right of access to corporate information. The law relating to meetings of shareholders and appointment and removal of directors. Protection of shareholders from abuses (e.g., insider dealing, connected transactions). Restrictions in securities dealings by directors. Communications with shareholders. Shareholder activism. Institutional shareholder role and responsibilities in the corporate governance system. <u>Stakeholder engagement</u> Stakeholder relations. Stakeholder engagement by the board. The role of company secretary/governance professional in stakeholder engagement. <u>Corporate Governance in the PRC</u> The position, power, duties, responsibilities and ethical issues of directors, managers and the supervisory committee. The role of the directors, independent directors, managers, secretaries and the supervisory committee in the corporate governance system of the PRC. Qualification and disqualification of directors, managers, secretaries and members of the supervisory committee. The role and functions of China Securities Regulatory Commission. <u>Other jurisdictions</u> Corporate governance in USA, Europe and Asia.							
Teaching/Learning Methodology	Lectures emphasize concepts and key principles of corporate governance with reference to the practical application in the workplace. Seminars provide students with a forum for discussion on the application of concepts to current corporate governance practices in their working environment. Students are required to present cases, problems or articles in seminars.							
Assessment Methods in Alignment with Intended Learning Outcomes	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)					
			a	b	c	d	e	
	1. Discussion	10%	√	√	√	√	√	
	2. Assignment or Test	20%-25%	√	√	√	√	√	
	3. Presentation	15%-20%	√	√	√	√	√	
	4. Final examination	50%	√	√	√	√	√	
	Total	100 %						
Explanation of the appropriateness of the assessment methods in assessing the intended learning outcomes:								

	<u>Participation in discussion:</u> It allows students to freely share their views and experiences in achieving good corporate governance practices in the workplace. <u>Test/Assignment/Presentation/Final examination:</u> They require students to (a) understand and to apply the statutory and non-statutory regulations; (b) identify and to analyse business ethics issues and practices; (c) apply the concepts and principles of corporate governance to best practices with reference to other countries' best corporate governance practices; and (d) critically evaluate the effectiveness of the Hong Kong/PRC corporate governance system. <i>To reflect the significant technology content in this subject, 10% of the overall weighting of this subject is based on individual assessment concerning technology-related knowledge.</i> <i>To reflect the significant ethic content in this subject, 10% of the overall weighting of this subject is based on individual assessment concerning ethic-related knowledge.</i> <i>To pass this subject, students are required to obtain Grade D or above in BOTH the Continuous Assessment and Examination components. Besides, the specific requirements on individual assessment components discussed above could be adjusted based on the pedagogical needs of subject lecturers.</i>	
Student Study Effort Expected	Class contact:	
	▪ 13 weeks of 3 hours seminar each	39 Hrs.
	Other student study efforts:	
	Students are expected to prepare for the lectures/seminars, test, pre-assigned readings for discussion in class, group presentations and written reports.	78 Hrs.
	The total student study effort	117 Hrs.
Reading List and References	The HKCGI Chartered Governance Qualifying Programme study text. (Latest version) Bob Tricker, Corporate Governance, latest edition, Oxford University Press. Bob Tricker and Gregg Li, Understanding Corporate Governance in China, Hong Kong University Press Christine A. Mallin, Corporate Governance, latest edition, Oxford University Press. Mike Wright, Donald S. Siegel, Kevin Keasey, and Igor Filatotchev,	

	the Oxford Handbook of Corporate Governance, latest edition, Oxford University Press. De Jonge, A., Corporate Governance and China's H-Share Market, latest edition, Edward Elgar. Erismann-Peyer, G., Steger, U., and Salzmann, O., The Insider's view on Corporate Governance: The Role of the Company Secretary, latest edition, Palgrave Macmillan. Corporate Governance – An International Review, Blackwell. Business Ethics, European Review, Blackwell Publishing (updated). Crone A., and Matten D., Business Ethics, latest edition, Oxford University Press. De George, Richard T., Business Ethics, latest edition, Prentice Hall. Ferrell, O.C., Fraedrich, J. and Ferrell L., Business Ethics: Ethical Decision Making and Cases, latest edition, Houghton Mifflin Company. Fisher C. and Lovell A., Business Ethics and Values – Individual, Corporate and International Perspectives, latest edition, Prentice Hall. Journal of Business Ethics, Kluwer Academic Publishers. Velasquez, Manuel G., Business Ethics - Concepts and Cases, latest edition, Prentice Hall. Hong Kong Ethics Development Centre, Ethics in Management: A Resource Portfolio for Hong Kong Universities. Cheng, P.W., H.S. Sum and K.T. Yuen, The Hong Kong Company Secretary's Handbook: Practice & Procedure, latest edition, Longman. Stott, V., Hong Kong Company Law, latest edition, Longman. Gu Minkang, Understanding Chinese Company Law, Hong Kong University Press, latest edition. Companies Ordinance, Cap. 622 (and amendments) and all related rules, regulations & orders. Securities and Futures Ordinance, Cap. 571. Financial Reporting Council Ordinance, Cap. 588. Listing Rules, The Stock Exchange of Hong Kong Limited. The Codes on Takeovers and Mergers and Share Buy-backs, SFC. A Guide on Better Corporate Governance Disclosure, Hong Kong Institute of Certified Public Accountants A practical guide to good governance: Directors' Induction, The Hong Kong Institute of Chartered Secretaries (Now 'The Hong Kong Chartered Governance Institute'). Corporate Governance Guide for Boards and Directors, latest edition, The Stock Exchange of Hong Kong Limited. Guide for Independent Non-Executive Directors, latest edition, The Hong Kong Institute of Directors.
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	Guide for Boards and Directors: Leadership Role and Accountability in ESG, HKEx. Guidelines for Effective Audit Committees – Selection, Appointment and Reappointment of Auditors, Accounting and Financial Reporting Council, HK. Srinivas, V, Lamm, R. and Ramsy, T., <i>Bringing Digital to the Boardroom: The Impact of Digital Transformation on Companies Board</i>, The Deloitte Center for Financial Services and the Deloitte Centre for Board Effectiveness, 2019 <i>KPMG – Digital transformation – Driving change. Inspiring perspective.</i> NGOs – Social Welfare Department, HKSAR.
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